

Organization Structure and Design

In simple words organizational structure is the formal arrangements of job within an organization.

Organizational structure is a way or method by which organizational activities are divided, organized and coordinated. The organizations created the structures to coordinate the activities of work factors and control the member performance.

When manager create organization culture and structure, they engaged in organizational design, that involve decision about six elements.

Elements of Organization Design

Organization Design is a process for shaping the way organizations are structured and run. There are six elements involve, which we are going to discuss.

1. Work Specialization

Dividing the work activities into separate job tasks. Employee specializes in doing a part of activity, rather than doing entire activity to increase output. It is also known as division of labor.

2. Departmentalization

How jobs are groups together is called departmentalization.

There are different department (finance, marketing, information technology, Operations) workings for the organization, each department work in their own field.

Similar your university has different departments, such as finance department work on finance such as issue regarding your fee payment, employee salary etc.

3. Chain of Command

The chain of command is the line of authority, extending from upper organizational level to lower level.

It helps employee with questions such as “who do I report to”? And “who do I go if I have a problem”? To understand chain of command we have to study 3 other concepts.

- i. **Authority:** Refer to the right in a managerial position to tell people what to do.
- ii. **Responsibility:** Employee assumes an obligation to perform duty.
- iii. **Unity of command:** Employee should response to one authority.

4. Span of Control

How many employees can manager efficiently and effectively manage than is span of control?

Traditional view was that manager could not and should not supervise more than five or six subordinates.

Today there is no magic number. How many employees manager can supervise depend on its skills and abilities? Technology also play important role in supervision now a day.

5. Centralization and Decentralization

- i. **Centralization**

The degree to which decision making is concentrated at upper level of the organization, In centralization system top manager makes key decisions.

- ii. **Decentralization**

The degree to which lower level employee provide input or let them participate in a decision making. Today there is a concept on empowerment.

6. Formalization

Formalization refers to how standardized an organization's jobs are and the extent to which employee behavior is guided by rules and procedures.

In highly formalized organization there are clear job descriptions; organization rules and clear define procedures of doing work.

Types of Organization Structures or Designs

1. Traditional Ones
2. More Contemporary Ones

1. Traditional Organizational Design

i. Simple Structure

An organizational design with low departmentalization, wide span of control, centralized authority and little formalization.

However most companies don't remain simple structure, tend to become more specialized and formalized.

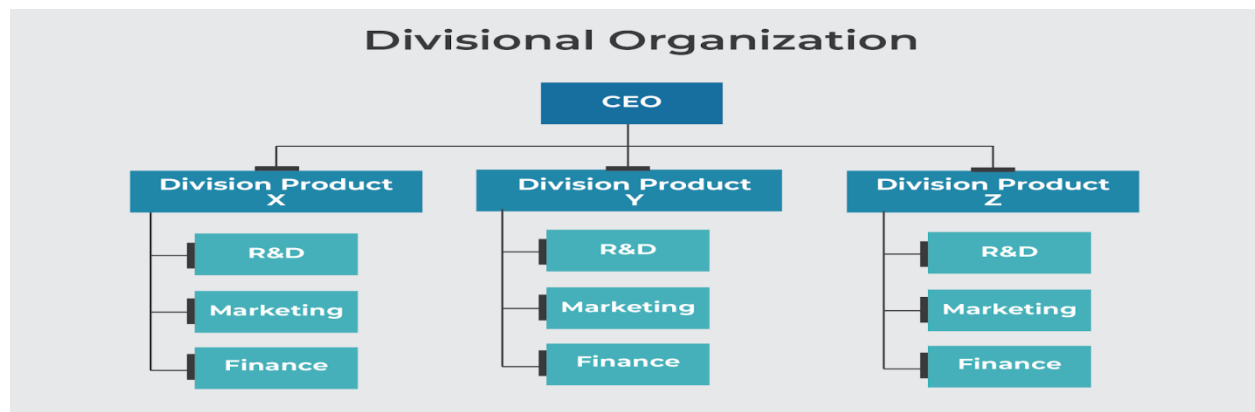
ii. Functional Structure

An organizational design that group similar or related occupational specialties. You can say this structure is functional departmentalization.

Organization is divided into smaller groups based on specialized functional areas, such as IT, finance, or marketing.

iii. Division Structure

An organizational structure made up of separate business units or division. Division manager has authority over his/her unit and responsible for performance. Each division contains all the necessary resources and functions within it to support that product line



2. Contemporary Organizational Design

i. Team Structure

An organizational structure in which entire organization is made up of team or work group. Employee are more involved and empowered, Reduce barriers among functional areas.

They are less hierarchical and they have flexible structures that reinforce problem-solving, decision-making and teamwork. No clear chain of command. Pressure on team to perform.

ii. Matrix Structure

An organizational structure that assign specialist from different department or functional area to work on project but return back to their area when project is completed.

For example, a project or task team established to develop a new product might include engineers and design specialists as well as those with marketing, financial, personnel and production skills.

Flexible design, fast decision making but conflict exit among individuals.

iii. Project Structure

A structure that assign specialists from different functional area and they continue working together on various project. Such organization work on projects.

iv. Boundary less Structure

Boundary less organizations are defined specifically by a lack of structures, includes virtual and network types organization (organization consists of temporary hired people). Utilize talent wherever its found. Lack of control.